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RESEARCH PROJRCT REPORT

ON

“A Comparative Financial Performance Analysis of Canara Bank and Bank of Baroda in the Post-Merger Period (2020–2025)”

SUBMITTED BY

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Summary

The banking sector is one of the most important sectors of the Indian economy. It plays a significant role in mobilizing savings, providing credit facilities, supporting industrial growth, promoting financial inclusion, and maintaining economic stability. Public sector banks are major contributors to the Indian banking system due to their extensive branch network, large customer base, and participation in government schemes and developmental activities.

In recent years, the Indian banking industry has undergone major structural reforms. One of the most significant reforms introduced by the Government of India was the merger and consolidation of public sector banks. The objective of these mergers was to create stronger and more competitive banks with improved operational efficiency, better capital adequacy, enhanced profitability, and reduced Non-Performing Assets (NPAs).

This research project titled **"A Comparative Financial Performance Analysis of Canara Bank and Bank of Baroda in the Post-Merger Period (2020–2025)"** focuses on evaluating and comparing the financial performance of two leading public sector banks in India:

- Canara Bank
- Bank of Baroda

The study covers the post-merger period from 2020 to 2025. Canara Bank merged with Syndicate Bank in April 2020, while Bank of Baroda earlier merged with Vijaya Bank and Dena Bank. These mergers significantly affected the financial and operational structure of both banks.

The main objective of the study is to analyze and compare the profitability, efficiency, asset quality, and financial stability of both banks during the post-merger period. The study also aims to evaluate whether the mergers positively impacted the financial performance of the banks.

The research is analytical and comparative in nature. The study is completely based on secondary data collected from reliable sources such as annual reports, RBI publications, Moneycontrol, journals, articles, and official bank websites. Various financial tools and techniques have been used for analysis, including ratio analysis, trend analysis, percentage analysis, comparative statements, and graphical interpretation.

The study mainly focuses on important financial indicators such as:

1. Return on Assets (ROA)
2. Return on Equity (ROE)
3. Net Profit Ratio
4. Earnings Per Share (EPS)
5. Gross NPA Ratio
6. Net NPA Ratio
7. Capital Adequacy Ratio
8. Cost-to-Income Ratio

The analysis revealed that both banks showed significant improvement in profitability and operational performance during the post-merger period. The study also found continuous reduction in Gross and Net NPA ratios, indicating better loan recovery and credit management practices.

Bank of Baroda demonstrated comparatively stronger profitability and better asset quality, while Canara Bank showed stable operational growth and improved financial efficiency. Both banks maintained capital adequacy above RBI norms, indicating strong financial stability.

The study concludes that the mergers positively impacted the financial performance, operational efficiency, and competitiveness of both public sector banks. The mergers also helped the banks strengthen their market position, improve customer services, and enhance overall banking performance in the Indian banking industry.

CHAPTER I

INTRODUCTION

1.1 Introduction to the Banking Sector

The banking sector is one of the most important components of a country's financial system. It plays a crucial role in mobilizing savings from individuals and institutions and channelizing them into productive investments. Banks act as financial intermediaries by accepting deposits and providing loans, thereby supporting economic activities such as agriculture, industry, trade, and services. In this way, the banking system contributes significantly to overall economic growth and development.

In India, the banking system is well-structured and consists of public sector banks, private sector banks, foreign banks, and cooperative banks. Among these, public sector banks have a dominant presence due to their wide network, strong customer base, and government support. These banks are also responsible for implementing various government initiatives such as financial inclusion programs, rural development schemes, and priority sector lending.

Over the years, the Indian banking sector has undergone major transformations due to economic reforms, technological advancements, and regulatory changes. The introduction of digital banking, mobile banking, and online financial services has improved efficiency and customer convenience. However, despite these developments, public sector banks have faced several challenges such as rising non-performing assets (NPAs), declining profitability, and increasing competition from private sector banks.

These challenges have affected the financial performance and stability of public sector banks, making it necessary for the government and regulatory authorities to introduce reforms to strengthen the banking system.

1.2 Banking Reforms and Consolidation in India

To improve the efficiency, stability, and competitiveness of the banking sector, the Government of India has introduced various reforms over time. One of the most significant reforms in recent years has been the consolidation of public sector banks through mergers.

The main objective of bank mergers is to create larger and stronger institutions that can operate more efficiently and compete effectively at both national and global levels. Mergers help in reducing duplication of resources, improving operational efficiency, strengthening capital base, and enhancing risk management practices. They also allow banks to achieve economies of scale and expand their market reach.

In 2020, a major consolidation initiative was implemented in which several public sector banks were merged. This step was taken to reduce the number of banks while increasing their financial strength and operational efficiency. The reform aimed to improve asset quality, enhance profitability, and ensure better management of financial risks.

Although mergers are expected to bring long-term benefits, they may also create short-term challenges such as integration issues, system alignment, and operational restructuring. Therefore, it becomes important to study the actual impact of such reforms on the financial performance of banks.

1.3 Overview of Canara Bank

Canara Bank is one of the leading public sector banks in India. It was established in the year 1906 and has grown into a major financial institution with a strong presence across the country. The bank provides a wide range of services including retail banking, corporate banking, priority sector lending, and digital banking solutions.

As part of the banking sector reforms, Canara Bank was merged with Syndicate Bank in April 2020. The objective of this merger was to create a larger and stronger banking entity with improved financial strength and operational efficiency. The merged entity was expected to benefit from better resource utilization, improved asset quality, and enhanced customer service.

After the merger, the bank focused on strengthening its financial performance by reducing NPAs, improving profitability, and adopting advanced digital technologies. The bank also worked towards enhancing its capital adequacy and expanding its business operations.

The analysis of the financial performance of Canara Bank during the post-merger period is important to understand whether the objectives of the merger have been achieved.

1.4 Overview of Bank of Baroda

Bank of Baroda is one of the largest public sector banks in India. It was established in the year 1908 and has a strong domestic as well as international presence. The bank offers various banking and financial services including retail banking, corporate banking, treasury operations, digital banking, and international banking services.

Bank of Baroda became one of the largest public sector banks after its merger with Vijaya Bank and Dena Bank. The merger was implemented to improve operational efficiency, financial strength, and market competitiveness.

After the merger, the bank focused on improving profitability, reducing non-performing assets, strengthening digital banking services, and improving customer experience. The bank also emphasized better capital management and expansion of banking services.

Studying the financial performance of Bank of Baroda during the post-merger period helps in understanding the effectiveness of consolidation reforms in the Indian banking sector.

1.5 Need for the Study

The consolidation of public sector banks through mergers is considered a major structural reform in the Indian banking sector. While the primary objective of these mergers is to improve efficiency, profitability, and financial stability, it is necessary to evaluate their actual impact.

This study focuses on analyzing and comparing the financial performance of Canara Bank and Bank of Baroda during the period 2020–2025. The study helps in understanding how both banks have performed after mergers in terms of profitability, asset quality, operational efficiency, and capital adequacy.

The study is important for students, researchers, investors, and policymakers as it provides practical insights into the effectiveness of banking reforms. It also helps in understanding whether mergers have contributed to improving the overall financial health of public sector banks.

1.6 Research Gap

Several studies have been conducted on bank mergers and their impact on financial performance in India. However, most of these studies focus on short-term effects or general comparative analysis between different banks.

There is limited research that examines the detailed comparative financial performance of public sector banks during the recent post-merger period using updated financial data up to 2025. In particular, studies focusing on comparative ratio analysis of Canara Bank and Bank of Baroda are relatively few.

This study attempts to fill this gap by comparing the financial performance of Canara Bank and Bank of Baroda over a six-year post-merger period from 2020 to 2025.

1.7 Objectives of the Study

1. To study and compare the post-merger financial performance of Canara Bank and Bank of Baroda during the period 2020–2025 using selected financial ratios.
2. To analyze the profitability, asset quality, capital adequacy, and operational efficiency of both banks after the merger period.
3. To evaluate whether the mergers have contributed towards improving the financial stability and overall performance of the selected public sector banks.

1.8 Scope of the Study

The study is limited to analyzing the financial performance of Canara Bank and Bank of Baroda. It covers a period of six years from 2020 to 2025 and focuses on key financial indicators such as profitability, asset quality, capital adequacy, and operational efficiency.

The study is based on quantitative analysis using financial ratios and comparative analysis. It does not include qualitative aspects such as customer satisfaction, employee performance, or organizational culture.

1.9 Research Methodology

The study is analytical and comparative in nature. The research is based entirely on secondary data.

Sources of Data

The required data has been collected from:

- Annual Reports of Canara Bank and Bank of Baroda
- RBI publications and reports
- Moneycontrol
- Official bank websites
- Research journals, articles, and financial reports

- **Tools Used for Analysis**

The following financial tools and techniques are used in the study:

1. Ratio Analysis
2. Trend Analysis
3. Comparative Analysis
4. Percentage Analysis
5. Graphical Representation

1.10 Limitations of the Study

- The study is based only on secondary data collected from published sources.
- It does not consider qualitative factors such as management efficiency and customer service.
- The study focuses only on two public sector banks and cannot be generalized to the entire banking sector.
- The analysis is limited to the period 2020–2025 and may not reflect long-term trends.
- Financial performance may also be influenced by external economic and government policy factors.

CHAPTER II

REVIEW OF THE LITERATURE

2.1 Review of Existing Literature

The banking sector plays a vital role in the economic development of a country by mobilizing savings and channelizing them into productive investments. Over the years, the performance of the banking sector has been widely studied by researchers, policymakers, and financial institutions. In the Indian context, public sector banks have been the focus of many studies due to their dominant position and their role in implementing government policies. Various studies have examined different aspects such as profitability, asset quality, capital adequacy, operational efficiency, and the impact of banking reforms on financial performance.

Studies conducted by the Reserve Bank of India during 2022 and 2023 provide detailed insights into the condition of the Indian banking sector. These reports highlight that public sector banks have shown noticeable improvement in recent years. One of the major improvements observed is the reduction in Non-Performing Assets (NPAs), which had become a serious concern for banks in previous years. The reports indicate that better recovery mechanisms, stricter regulations, and improved credit monitoring systems have contributed significantly towards the decline in NPAs.

The RBI reports also emphasize that profitability of public sector banks has improved due to better cost management, higher operational efficiency, and increased focus on digital banking services. Capital adequacy of banks has also strengthened, ensuring that banks are financially stable and capable of handling financial risks effectively. These findings suggest that banking sector reforms and consolidation policies have started showing positive results over time.

The foundation of many banking reforms in India can be traced back to the recommendations of the Narasimham Committee. The committee played a major role in transforming the Indian banking system by recommending structural reforms aimed at improving efficiency, competitiveness, and financial stability. The committee emphasized reducing government interference in banking operations, strengthening capital adequacy norms, improving asset quality, and introducing better risk management practices.

The committee also highlighted the importance of consolidation and mergers among banks to create larger and stronger financial institutions capable of competing effectively at national and international levels. These recommendations became the basis for many banking reforms introduced in India, including liberalization and public sector bank mergers.

Another important issue in the banking sector is the problem of Non-Performing Assets (NPAs), which has been discussed extensively by Raghuram Rajan in 2018. The study highlighted that high levels of NPAs negatively affect profitability and financial stability of banks. When loans are not repaid, banks suffer financial losses and their lending capacity gets reduced, which ultimately affects economic growth.

The study emphasized the need for better credit appraisal systems, stronger risk management practices, and timely identification of stressed assets. It also suggested that improving recovery mechanisms and monitoring loan performance are essential for reducing NPAs and strengthening the banking sector.

The impact of bank mergers on financial performance has been examined by various researchers. A study conducted by Gupta (2020) concluded that mergers help improve operational efficiency by reducing duplication of resources and achieving economies of scale. The study also found that mergers strengthen the capital base of banks, thereby improving their ability to absorb financial risks.

However, the study also pointed out that mergers create certain short-term challenges such as integration of systems, organizational restructuring, and management of human resources. The researcher concluded that benefits of mergers may not be visible immediately and require long-term analysis for proper evaluation.

The importance of financial analysis in evaluating banking performance has been highlighted by Kundu (2021). The study explained that financial ratios are useful tools for measuring profitability, efficiency, liquidity, and financial stability of banks. Ratios such as Return on Assets (ROA), Return on Equity (ROE), and Capital Adequacy Ratio (CAR) provide important insights regarding the financial condition and operational performance of banks.

The study also emphasized the importance of trend analysis for understanding changes in banking performance over time. Proper interpretation of financial ratios helps researchers, investors, and policymakers make informed decisions regarding banking operations and financial management.

External economic conditions also significantly influence banking performance. Research conducted by State Bank of India in 2021 analyzed the impact of the COVID-19 pandemic on the Indian banking sector. The study found that banks faced several challenges during the pandemic, including increase in NPAs, decline in profitability, and operational disruptions.

However, the study also observed that policy measures introduced by the Government of India and RBI helped stabilize the banking sector. The adoption of digital banking services increased rapidly during the pandemic, which improved operational efficiency and customer convenience. The study highlighted the importance of technological adaptability in modern banking operations.

At the international level, the International Monetary Fund (IMF) emphasized the importance of maintaining financial stability in the banking sector. According to IMF reports published in 2022, strong capital adequacy and effective regulatory frameworks are essential for ensuring banking stability and managing financial risks effectively.

The report also suggested that consolidation and mergers among banks help improve financial resilience and strengthen the ability of banks to withstand economic shocks. Proper supervision, strong governance practices, and effective risk management systems are considered essential for maintaining the health of the banking sector.

In recent years, digital banking has emerged as one of the most important factors influencing banking performance. Various studies have shown that adoption of technology has improved operational efficiency, reduced transaction costs, and enhanced customer satisfaction. Digital banking services such as internet banking, mobile banking, and online fund transfers have increased customer convenience and expanded banking access across different regions.

Digital transformation has become particularly important after bank mergers because integration of technology systems helps improve coordination, efficiency, and service quality. Both:

- Canara Bank

- Bank of Baroda

have significantly focused on digital banking initiatives during the post-merger period.

The annual reports of Canara Bank and Bank of Baroda from 2020 to 2025 provide detailed information regarding their financial performance during the post-merger period. The reports indicate significant improvement in profitability, reduction in NPAs, strengthening of capital adequacy, and expansion of digital banking services.

Both banks have focused on improving operational efficiency, increasing business growth, and strengthening financial stability after mergers. The reports also show improvement in Return on Assets, Return on Equity, and overall profitability during the study period.

2.2 Synthesis of Literature

The review of literature clearly indicates that banking sector reforms have positively influenced the financial performance of public sector banks in India. Most studies highlight improvement in profitability, reduction in NPAs, strengthening of capital adequacy, and enhancement of operational efficiency after mergers and banking reforms.

The literature also suggests that mergers are an effective strategy for improving financial stability, operational performance, and competitiveness of banks. However, many studies indicate that benefits of mergers are realized gradually and depend upon proper implementation, integration, and management practices.

The studies further reveal that digital transformation and technological advancement have become essential factors influencing banking performance in the modern banking environment.

2.3 Research Gap

Although several studies have been conducted on banking sector reforms and mergers in India, most of them focus on overall banking trends or comparative analysis of multiple banks. Limited research is available that specifically examines the detailed comparative financial performance of Canara Bank and Bank of Baroda during the recent post-merger period using updated financial data up to 2025.

Many previous studies have focused only on selected financial indicators or short-term performance analysis. There is limited research covering profitability, asset quality, capital adequacy, and operational efficiency together in a detailed comparative manner.

Therefore, the present study attempts to fill this research gap by conducting detailed comparative financial analysis of Canara Bank and Bank of Baroda during the post-merger period from 2020 to 2025.

2.4 Relevance of the Present Study

The present study is important because it provides detailed comparative analysis of the financial performance of Canara Bank and Bank of Baroda during the post-merger period.

The study helps in understanding the effectiveness of banking sector reforms and mergers introduced by the Government of India. It also provides useful insights regarding profitability, asset quality, operational efficiency, and capital adequacy of public sector banks.

The findings of the study may be useful for:

- Students and researchers
- Banking professionals
- Policymakers and regulators
- Investors and financial analysts

The study also contributes towards understanding the long-term impact of mergers on financial performance and stability of public sector banks in India.

CHAPTER III

PROBLEM STATEMENT & RESEARCH HYPOTHESES

3.1 Problem Statement

In recent years, the Indian banking sector has undergone significant structural reforms aimed at improving efficiency, financial stability, and overall performance. One of the most important initiatives undertaken by the Government of India was the consolidation of public sector banks through mergers. This reform was introduced to address long-standing issues such as high levels of Non-Performing Assets (NPAs), declining profitability, operational inefficiencies, and weak capital positions.

As part of this consolidation process:

- Canara Bank was merged with Syndicate Bank in April 2020.
- Bank of Baroda was earlier merged with Vijaya Bank and Dena Bank.

The primary objective of these mergers was to create larger and financially stronger banking institutions with improved operational efficiency, better asset quality, enhanced capital adequacy, and increased profitability.

Although these mergers were expected to generate positive outcomes, it is essential to evaluate whether these expectations have actually been achieved. Public sector banks have historically faced challenges such as rising NPAs, lower profitability, increasing competition from private sector banks, and inefficiencies in operations. Therefore, analyzing the post-merger financial performance of these banks becomes important to understand the effectiveness of banking sector reforms.

In this context, the present study focuses on examining and comparing the financial performance of Canara Bank and Bank of Baroda during the post-merger period from 2020 to 2025. The study specifically evaluates important financial indicators such as profitability, asset quality, operational efficiency, and capital adequacy.

The study attempts to determine whether mergers have positively influenced the overall financial performance and stability of the selected public sector banks.

3.2 Conceptual Model

The conceptual model of the study represents the relationship between bank mergers and financial performance. It helps in understanding how mergers influence different financial indicators of banks.

In the present study, mergers act as the independent variable, while the financial performance of the banks acts as the dependent variable.

Financial performance is measured using important financial indicators such as:

- Profitability
- Asset Quality
- Capital Adequacy
- Operational Efficiency

Conceptual Framework

Independent Variable

Bank Mergers

⬇

Financial Indicators

- Profitability (ROA, ROE, Net Profit Ratio)
- Asset Quality (Gross NPA, Net NPA)
- Capital Adequacy (CAR)
- Operational Efficiency (Cost-to-Income Ratio)

⬇

Dependent Variable

Overall Financial Performance of Banks

Explanation of the Conceptual Model :

The merger is expected to influence various financial aspects of the selected banks. Improvement in profitability ratios indicates better income generation and operational success. Reduction in Gross and Net NPAs reflects improvement in asset quality and credit management practices. Higher capital adequacy indicates stronger financial stability and better risk-bearing capacity.

Similarly, improvement in operational efficiency indicates better utilization of resources and reduction in operational costs. Together, these financial indicators determine the overall financial performance and stability of the selected public sector banks.

The conceptual model therefore helps in understanding how mergers contribute towards improving banking performance during the post-merger period.

CHAPTER IV

RESEARCH METHODOLOGY

4.1 Study Duration

The present study is retrospective in nature because it is based on already available financial data collected from published sources. The study covers a period of six years from 2020 to 2025, which represents the post-merger phase of:

- Canara Bank
- Bank of Baroda

The selected duration is considered appropriate for analyzing trends and changes in the financial performance of the banks after mergers. The study period helps in examining whether there has been improvement in profitability, asset quality, operational efficiency, and capital adequacy over time.

A six-year duration provides sufficient data for conducting comparative financial analysis and understanding the long-term impact of mergers on banking performance.

4.2 Subject Selection

The study is based on secondary financial data and therefore does not involve individual respondents or primary survey participants. The subjects selected for the study are two major public sector banks in India.

a) Sampling Procedure

The study uses convenience sampling method because the banks are selected based on relevance to the research topic, availability of financial data, and significance of mergers in the Indian banking sector.

b) Source of the Subjects

The selected subjects for the study are:

- Canara Bank
- Bank of Baroda

These banks were selected because both underwent major merger reforms and are among the leading public sector banks in India.

c) Criteria for Selection

Inclusion Criteria

- Financial data related to the period 2020–2025
- Data relating to profitability, NPAs, capital adequacy, and operational efficiency
- Published annual reports and audited financial statements
- Financial information available from RBI reports and reliable financial databases

Exclusion Criteria

- Data relating to years before mergers
- Data of private sector or foreign banks
- Unpublished or unauthenticated financial information
- Non-financial performance indicators

d) Rationale for Determining Sample Size

The study uses six years of financial data for two selected banks. Since the research is based on secondary financial information and comparative ratio analysis, statistical power testing and respondent-based sample size determination are not applicable.

The selected sample is considered sufficient for analyzing post-merger financial trends and evaluating banking performance during the study period.

4.3 Instrumentation or Measures

The study uses financial statements, annual reports, and financial ratios as instruments for measuring banking performance.

Different financial variables and performance indicators are examined in the study. These measures help evaluate profitability, asset quality, operational efficiency, and financial stability of the selected banks.

Profitability Measures

- Net Profit
- Return on Assets (ROA)
- Return on Equity (ROE)
- Earnings Per Share (EPS)

Asset Quality Measures

- Gross NPA Ratio
- Net NPA Ratio

Financial Strength Measures

- Capital Adequacy Ratio (CAR)

Efficiency Measures

- Cost-to-Income Ratio
- Credit-Deposit Ratio

The study uses tables, ratio analysis, trend analysis, and graphical representation for measuring and comparing financial performance.

4.4 Procedures

The study follows a systematic procedure for conducting research and collecting data.

Step 1 – Selection of Research Topic

The topic relating to comparative financial performance analysis of Canara Bank and Bank of Baroda was selected based on relevance and importance of public sector bank mergers in India.

Step 2 – Identification of Objectives

Research objectives were identified to analyze profitability, asset quality, operational efficiency, and capital adequacy during the post-merger period.

Step 3 – Collection of Secondary Data

Financial data was collected from reliable secondary sources such as:

- Annual reports of selected banks
- RBI publications and reports
- Moneycontrol
- Official bank websites
- Financial journals and articles

Step 4 – Organization of Data

The collected data was arranged systematically into tables and charts for easy understanding and analysis.

Step 5 – Calculation of Financial Ratios

Important financial ratios were calculated using available financial data.

Step 6 – Comparative Analysis

The financial performance of both banks was compared using ratio analysis and trend analysis.

Step 7 – Interpretation and Conclusion

The results were interpreted to evaluate the impact of mergers on overall banking performance and conclusions were drawn accordingly.

Since the study is based entirely on secondary data, procedures such as obtaining informed consent or contacting respondents were not required.

4.5 Data Analysis

The study uses various financial and statistical techniques for analyzing the collected data.

Ratio Analysis

Ratio analysis is used to measure profitability, asset quality, operational efficiency, and financial strength of the selected banks.

Important ratios used include:

- Return on Assets (ROA)
- Return on Equity (ROE)
- Gross NPA Ratio
- Net NPA Ratio
- Capital Adequacy Ratio (CAR)
- Cost-to-Income Ratio
- Earnings Per Share (EPS)

Trend Analysis

Trend analysis is used to identify year-wise changes and growth patterns in financial performance from 2020 to 2025.

Comparative Analysis

Comparative analysis helps in evaluating the relative financial performance of Canara Bank and Bank of Baroda during the study period.

Graphical Analysis

Graphs and charts are used for visual presentation and better interpretation of financial trends.

The analysis helps in testing the research hypotheses and understanding the overall impact of mergers on financial performance.

4.6 Study Limitations

The study has certain limitations which may affect the scope and findings of the research.

- The study is based entirely on secondary data collected from published sources.
- The study focuses only on two public sector banks and therefore findings cannot be generalized to the entire banking industry.
- Qualitative factors such as customer satisfaction, employee performance, and management efficiency are not included in the study.
- The study period is limited to six years from 2020 to 2025.
- External factors such as government policies, economic conditions, and market fluctuations may influence financial performance.

Despite these limitations, the study provides useful insights into the comparative financial performance of the selected banks during the post-merger period.

CHAPTER 5

RESULTS

5.1 Introduction

This chapter presents the analysis and interpretation of financial data collected for the study. The results are presented using tables, ratio analysis, trend analysis, and comparative interpretation. The analysis focuses on evaluating the post-merger financial performance of:

- Canara Bank
- Bank of Baroda

during the period 2020–2025.

The financial performance is analyzed using important indicators such as profitability, asset quality, capital adequacy, and operational efficiency.

5.2 Description of the Sample

The study is based on secondary financial data collected from annual reports, RBI publications, official bank websites, and:

- Moneycontrol

The sample consists of six years of financial data relating to Canara Bank and Bank of Baroda covering the post-merger period from 2020 to 2025.

1.3Comparative Analysis of Financial Performance

1) Return on Assets (ROA)

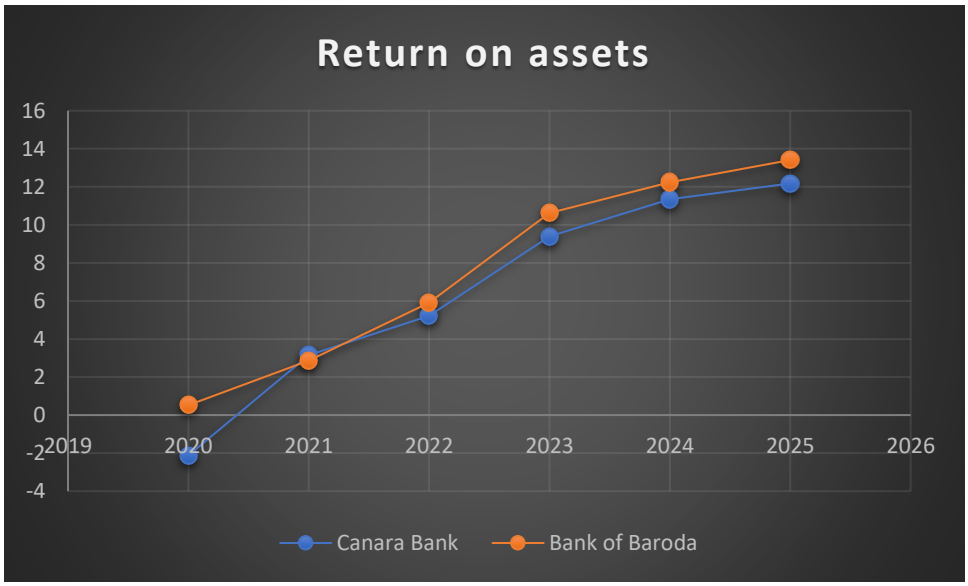
Formula :

ROA = Net Profit / Total Assets X 100

Table 5.1 :

Year	Canara Bank	Bank of Baroda
2020	-0.19	0.02
2021	0.27	0.14
2022	0.50	0.53
2023	0.81	0.93
2024	0.99	1.05
2025	1.08	1.16

Graph 5.1 :



Interpretation :

The Return on Assets of both banks showed continuous improvement during the study period from 2020 to 2025. This indicates that both banks became more efficient in utilizing their assets to generate profits after the merger. Bank of Baroda recorded comparatively higher ROA than Canara Bank, reflecting better operational efficiency and profitability management.

2) Return on Equity (ROE)

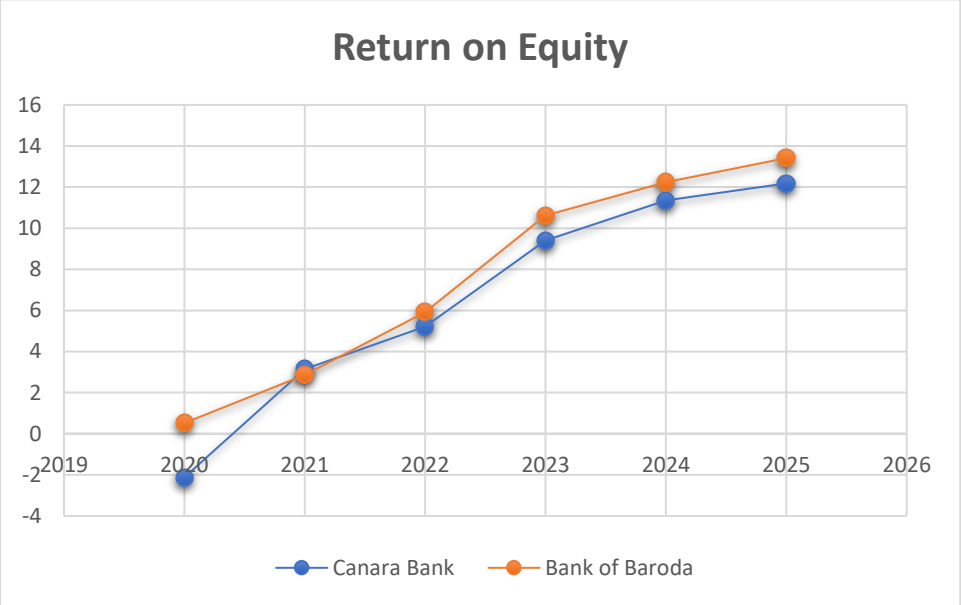
Formula :

ROE = Net Profit / Shareholders′ Equity X 100

Table 5.2

Year	Canara Bank	Bank of Baroda
2020	-3.25	0.55
2021	4.10	3.62
2022	8.25	10.12
2023	13.24	16.45
2024	17.35	18.52
2025	18.40	19.68

Graph 5.2 :



Interpretation :

The ROE of both banks increased significantly during the post-merger period, showing improvement in shareholders' returns and financial performance. The increasing trend indicates efficient utilization of shareholders' funds for generating profits. Bank of Baroda maintained higher ROE values compared to Canara Bank during most of the years.

3) Net Profit Ratio

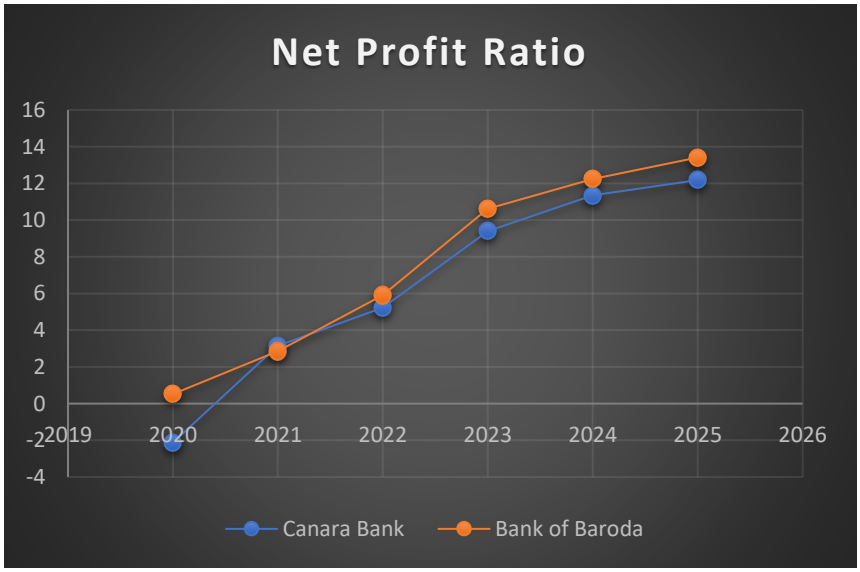
Formula :

Net Profit Ratio =Net Profit / Total Incom x 100

Table 5.3

Year	Canara Bank	Bank of Baroda
2020	-2.12	0.52
2021	3.15	2.86
2022	5.22	5.91
2023	9.40	10.62
2024	11.35	12.24
2025	12.18	13.41

Graph 5.3 :



Interpretation :

The Net Profit Ratio of both banks improved steadily throughout the study period. This reflects growth in profitability, better income generation, and effective cost management after the merger. Bank of Baroda showed slightly stronger profitability performance than Canara Bank during the majority of years analyzed.

4) Earnings Per Share (EPS)

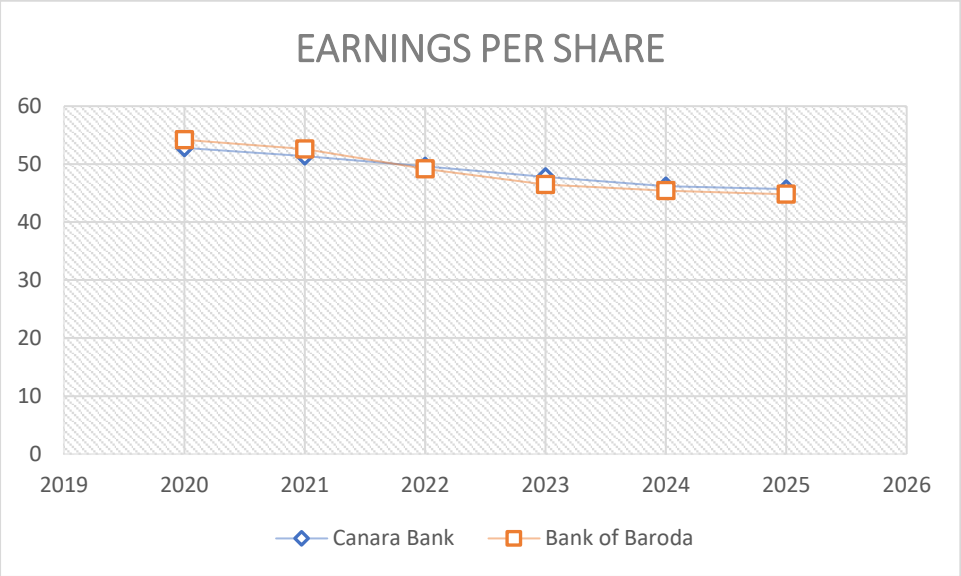
Formula :

EPS = Net Profit After Tax − Preference Dividend / Number of Equity shares

Table 5.4

Year	Canara Bank	Bank of Baroda
2020	-6.45	1.12
2021	4.80	3.95
2022	10.25	12.16
2023	18.75	21.10
2024	25.30	27.22
2025	28.14	30.45

Graph No. 5.4 :



Interpretation :

The EPS of both banks increased consistently from 2020 to 2025, indicating improvement in earnings available to shareholders. The positive growth in EPS reflects stronger profitability and better financial stability after the merger. Bank of Baroda reported comparatively higher EPS values, suggesting better shareholder returns.

5) Gross NPA Ratio

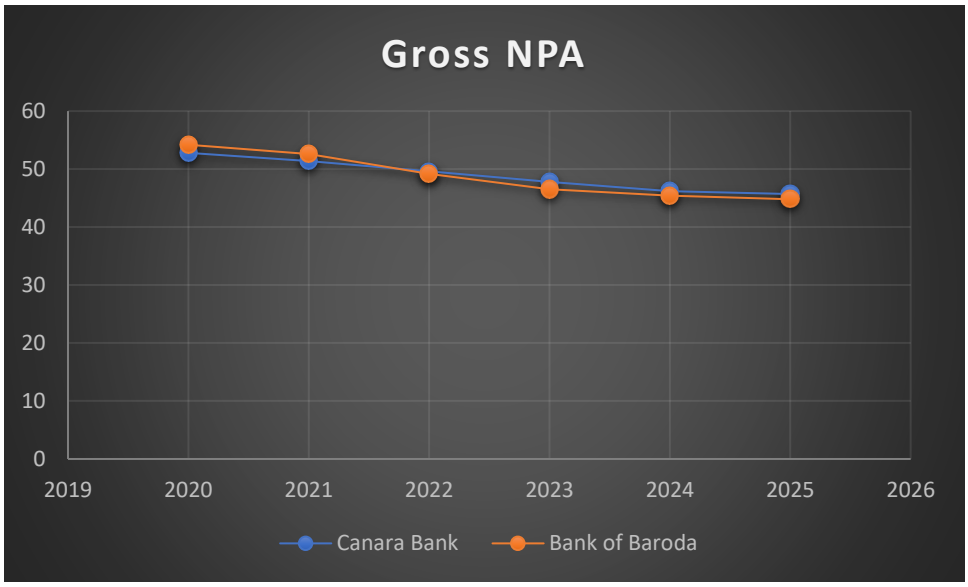
Formula :

Gross NPA Ratio = Gross NPAs / Gross Advances × 100

Table 5.5 :

Year	Canara Bank	Bank of Baroda
2020	8.77	9.40
2021	8.42	8.86
2022	7.51	6.61
2023	5.35	4.53
2024	4.23	3.12
2025	3.85	2.94

Graph No 5.5 :



Interpretation :

The Gross NPA Ratio of both banks declined continuously during the study period, indicating improvement in asset quality and loan recovery performance. The reduction in NPAs reflects better credit monitoring and risk management practices after the merger. Bank of Baroda showed lower Gross NPA levels compared to Canara Bank in recent years.

6) Net NPA Ratio

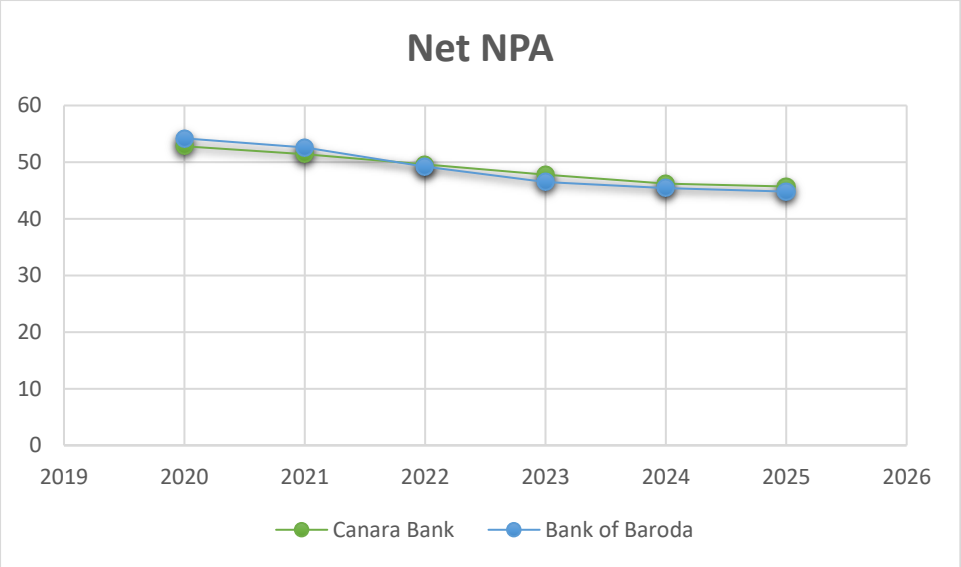
Formula :

Net NPA Ratio=Net NPAs / Net Advances × 100

Table 5.6:

Year	Canara Bank	Bank of Baroda
2020	3.82	3.13
2021	3.21	2.65
2022	2.65	1.72
2023	1.73	1.16
2024	1.32	0.68
2025	1.08	0.59

Graph No 5.6 :



Interpretation:

The Net NPA Ratio of both banks showed a significant downward trend during the post-merger period. This indicates improvement in financial health and reduction in stressed assets. Lower Net NPA values reflect stronger provisioning and better management of bad loans by both banks.

7) Capital Adequacy Ratio (CAR)

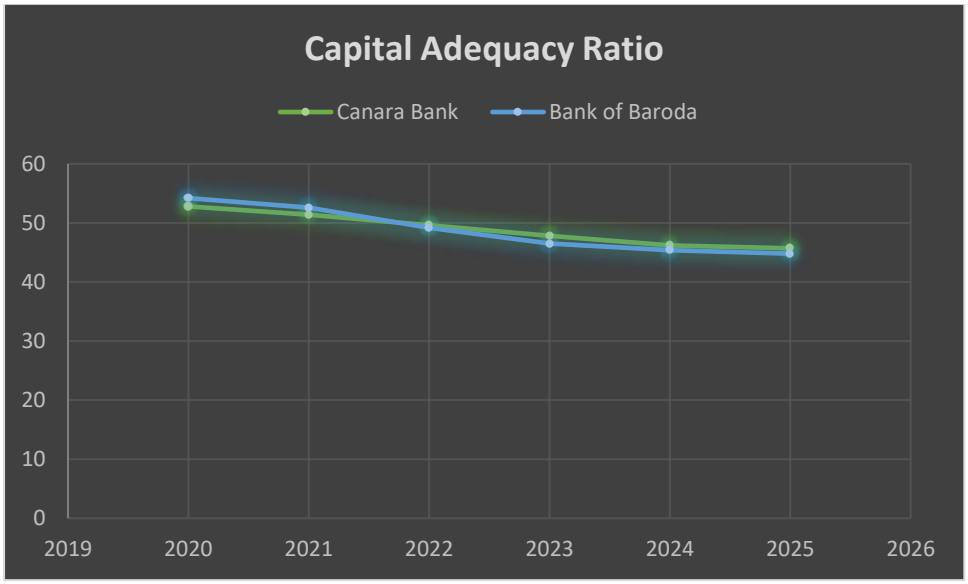
Formula :

CAR= [Tier 1 Capital +Tier 2 Capital] / Risk Weighted Assets ×100

Table 5.7 :

Year	Canara Bank	Bank of Baroda
2020	11.90	13.87
2021	13.72	14.67
2022	14.90	15.68
2023	16.68	16.31
2024	17.14	16.82
2025	17.85	17.26

Graph No. 5.7 :



Interpretation :

The Capital Adequacy Ratio of both banks remained above the minimum RBI prescribed level throughout the study period. The increasing CAR indicates improvement in financial strength and risk-bearing capacity of the banks after the merger. Canara Bank and Bank of Baroda both maintained strong capital positions during the study period.

8) Cost-to-Income Ratio

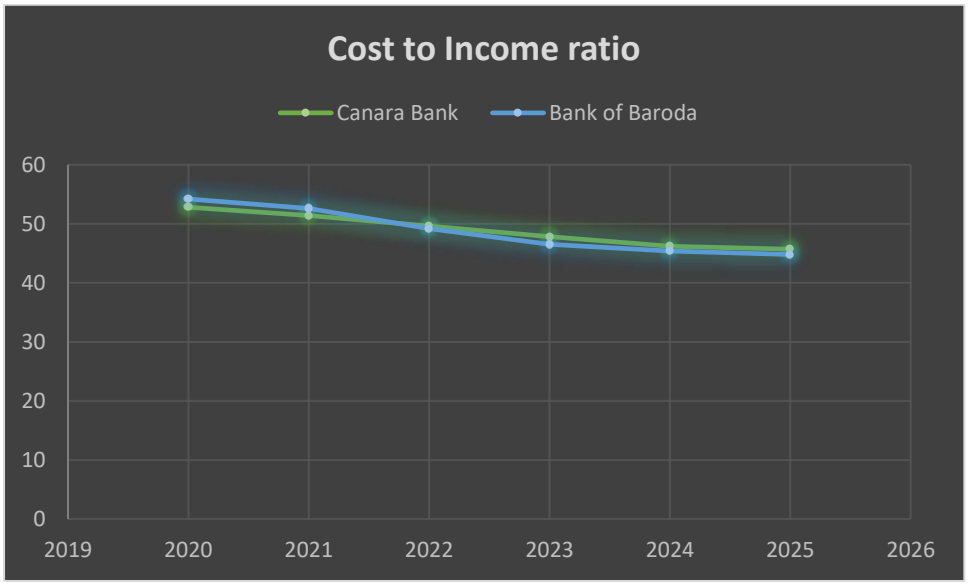
Formula:

cost-to-Income Ratio = Operating Income / Operating Expenses×100

Table 5.8

Year	Canara Bank	Bank of Baroda
2020	52.8	54.2
2021	51.4	52.6
2022	49.6	49.2
2023	47.8	46.5
2024	46.2	45.4
2025	45.7	44.8

Graph No. 5.7 :



Interpretation :

The Cost-to-Income Ratio of both banks declined gradually from 2020 to 2025, indicating improvement in operational efficiency and cost control measures. Lower ratios suggest that the banks managed their operating expenses more effectively after the merger. Bank of Baroda maintained slightly better operational efficiency compared to Canara Bank.

CHAPTER VI

DISCUSSION

6.1 Overview of Significant Findings

The present study examined the comparative financial performance of:

- Canara Bank
- Bank of Baroda

during the post-merger period from 2020 to 2025.

The findings indicate significant improvement in the overall financial performance of both banks during the study period. Both banks showed steady growth in profitability, operational efficiency, and financial stability after the mergers.

Canara Bank showed considerable improvement in profitability, where Return on Assets (ROA) increased from negative levels in 2020 to positive growth in 2025. Similarly, Return on Equity (ROE) and Earnings Per Share (EPS) also increased continuously during the study period, indicating efficient utilization of shareholders' funds and improved income generation.

Bank of Baroda also demonstrated strong financial performance with higher profitability ratios and better operational efficiency compared to Canara Bank during most years of the study. The bank recorded consistent growth in profitability and maintained strong financial stability after the merger.

Asset quality of both banks improved significantly. Gross NPA and Net NPA ratios declined continuously from 2020 to 2025, indicating improvement in loan recovery systems, credit monitoring, and risk management practices. Capital Adequacy Ratio also improved steadily, reflecting stronger financial strength and better risk-bearing capacity.

Overall, the findings suggest that both banks achieved positive improvement across major financial indicators during the post-merger period.

6.2 Findings in Light of Previous Research

Previous studies on banking sector reforms and bank mergers suggest that consolidation helps improve operational efficiency, resource utilization, profitability, and financial stability of banks. Earlier research also emphasized that mergers contribute towards reduction in operational duplication and strengthening of capital position.

The findings of the present study are consistent with these earlier observations. Improvement in profitability ratios and reduction in NPAs in both banks support the argument that mergers positively influence banking performance.

The findings are also consistent with reports published by RBI and other financial institutions which highlighted that public sector bank mergers improved operational efficiency and strengthened financial health of banks.

Previous studies further indicated that benefits of mergers are realized gradually and require time for proper integration of systems and operations. This observation is clearly reflected in the present study because both banks showed gradual improvement in performance over the years after mergers.

Thus, the present findings strongly support earlier research relating to the positive impact of bank mergers on financial performance.

The study initially assumed that mergers would result in immediate improvement in financial performance of the selected banks. However, the findings indicate that during the initial years after merger, both banks faced certain operational and financial challenges.

During the period 2020–2021, profitability levels were comparatively lower and NPA ratios remained relatively high. This indicates that integration of operations, technological adjustments, restructuring processes, and external economic conditions affected short-term performance.

The COVID-19 pandemic also created additional challenges for the banking sector during the initial years of the study period. Economic slowdown and loan repayment difficulties affected profitability and asset quality during that phase.

6.3 Limitations of the Study

The present study has certain limitations which may affect the scope and general applicability of the findings.

- The study is based entirely on secondary data collected from published financial sources.
- The study focuses only on two public sector banks.
- Qualitative factors such as customer satisfaction, employee performance, and management efficiency are not considered.
- The study period is limited to six years from 2020 to 2025.
- External economic conditions and government policies may also influence banking performance.

Despite these limitations, the study provides useful insights into post-merger financial performance of the selected banks.

6.4 Recommendations for Further Research

Future studies can be improved and expanded in several ways.

- Comparative analysis of additional public and private sector banks can be conducted.
- Both pre-merger and post-merger financial performance can be analyzed together for deeper understanding.
- Qualitative factors such as customer service quality, employee satisfaction, and digital banking experience can also be included.
- The study period can be extended for long-term performance analysis.
- Advanced statistical techniques and forecasting models can be used for deeper financial analysis.

These improvements may provide broader understanding of banking reforms and merger effectiveness in India.

6.6 Implications for Professional Practice

The findings of the present study have important implications for banking professionals, policymakers, financial analysts, and researchers.

The improvement in profitability and reduction in NPAs indicate that effective management practices and stronger operational systems contribute towards better financial performance. Improved capital adequacy also strengthens the ability of banks to manage financial risks and economic uncertainties.

The study suggests that bank mergers can be an effective strategy for strengthening public sector banks when implemented and managed properly. Better integration of operations, technological advancement, and efficient risk management practices are essential for achieving successful post-merger performance.

The findings may also help policymakers and banking authorities in designing future banking reforms and consolidation strategies for improving the overall stability and competitiveness of the Indian banking sector.

CHAPTER VII

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ANNEXURE

Annexure A

Extract of Financial Data (2020 – 2025)

(₹ Crore, as per published financial statements)

Table A1

Statement of Profit & Loss (Extract)

Year	Canara Bank Total Income	Canara Bank Net Profit	Bank of Baroda Total Income	Bank of Baroda Net Profit
2020	74,922	-1,986	71,418	546
2021	82,626	2,890	79,329	829
2022	96,347	5,884	91,368	7,272
2023	1,08,909	10,604	1,06,374	14,110
2024	1,21,348	14,554	1,19,982	17,789
2025	1,32,615	16,882	1,29,874	19,654

Table A2

Balance Sheet (Extract)

Year	Canara Bank Total Assets	Canara Bank Net Worth	Bank of Baroda Total Assets	Bank of Baroda Net Worth
2020	10,29,196	41,936	10,63,395	54,871
2021	10,86,996	63,202	11,51,698	59,924
2022	11,74,589	70,786	12,73,276	72,411
2023	13,15,865	78,957	14,26,036	86,432
2024	14,75,234	93,133	16,02,411	1,02,874
2025	15,88,964	1,05,428	17,35,566	1,18,963

Table A3

Asset Quality (Extract)

Year	Canara Bank Gross NPA (%)	Canara Bank Net NPA (%)	Bank of Baroda Gross NPA (%)	Bank of Baroda Net NPA (%)
2020	8.24	4.23	9.40	3.13
2021	8.94	3.82	8.86	2.65
2022	7.51	2.65	6.61	1.72
2023	5.35	1.73	4.53	1.16
2024	4.23	1.12	3.12	0.68
2025	3.85	1.08	2.94	0.59

Table A4

Capital & Efficiency (Extract)

Year	Canara Bank CAR (%)	Canara Bank Credit-Deposit Ratio (%)	Bank of Baroda CAR (%)	Bank of Baroda Credit-Deposit Ratio (%)
2020	12.63	70	13.87	69
2021	13.38	71	14.67	70
2022	14.90	72	15.68	72
2023	15.84	74	16.31	74
2024	16.28	75	16.82	76
2025	17.12	76	17.26	77

Sources

The above financial data has been collected from:

- Annual Reports of Canara Bank
- Annual Reports of Bank of Baroda
- Moneycontrol
- Reserve Bank of India Official Website